PLAIN-ENGLISH CHEAT SHEET · 2026/27

# Explained Simply: Money Matters

## Your plain-English guide to UK money.

Payslips, budgets, saving, borrowing, student loans, pensions and scams, explained like a friend would, with every number checked for 2026/27.

- Payslips
- Budgeting
- Bank accounts
- Saving
- ISAs
- Borrowing
- Student loans
- Pensions
- Insurance
- Investing
- Scams

Figures checked October 2026 for the 2026/27 tax year (England). General information, not financial advice.

EARNING · START HERE

# Your payslip, decoded

Where £2,500 a month actually goes

| PAYSLIP | October 2026 · Tax code 1257L | |
|---|---|---|
| 1 | **Gross pay**<br>Salary £30,000 ÷ 12 | £2,500.00 |
| 2 | **Income Tax**<br>Tax code 1257L | -£290.50 |
| 3 | **National Insurance**<br>Employee rate | -£116.16 |
| 4 | **Pension**<br>Your share | -£79.20 |
| 5 | **Student loan**<br>Plan 2 | -£4.00 |
| 6 | **Net pay**<br>Lands in your bank | £2,010.14 |

**1 Gross pay**
Everything you earned before a penny comes off.

**2 Income Tax**
20% of the pay above your tax-free £1,047.50 a month.

**3 National Insurance**
8% of pay above £1,048 a month. Builds your State Pension.

**4 Pension**
5% of pay above £520. Tax relief adds £19.80, your employer adds £59.40.

**5 Student loan**
9% of pay above £2,448 a month, rounded down to the pound.

**6 Net pay**
Your real budget number. Plan with this, never with salary.

**Think of gross pay as the whole pizza.** Tax, NI, pension and student loan each take a slice before it reaches your plate. Your pension slice is still yours, just saved for later.

Example: £30,000 salary, paid monthly, standard tax code, minimum workplace pension (relief at source), Plan 2 loan. Your payslip will differ.

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EARNING

# Tax, NI & minimum pay

How the slices work, in plain English

## % Income Tax bands, England 2026/27

SAME AS 2025/26

| 0% | 20% | 40% | 45% |
|---|---|---|---|
| Tax-free | Basic rate | Higher rate | Additional rate |
| Up to £12,570 | £12,571 to £50,270 | £50,271 to £125,140 | Over £125,140 |

**Like stairs:** each step only taxes the pounds standing on it. A pay rise into the 40% band only puts the extra pounds on the higher step, never your whole salary.

## National Insurance

**8%** of earnings between £12,570 and £50,270 a year, then **2%** above. Employers pay their own 15% on top. Each year you pay it counts towards your **State Pension**.

## Self-employed?

You file a **Self Assessment** return and pay your own tax. NI is **6%** of profits £12,570 to £50,270, then 2%. The first **£1,000** of side-hustle income is tax-free.

## Minimum hourly pay from April 2026

| 21 AND OVER | 18 TO 20 | UNDER 18 | APPRENTICE |
|---|---|---|---|
| £12.71 | £10.85 | £8.00 | £8.00 |
| National Living Wage | per hour | per hour | under 19 or first year |

**Earn over £100,000?** Your tax-free allowance shrinks by £1 for every £2 above it, and is gone at £125,140. Scotland has its own bands.

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PLANNING

# Budgeting that sticks

Give every pound a job before payday

**BUDGET IN ONE SENTENCE**

**A budget is a plan for money you haven't spent yet. Like a sat nav, it doesn't stop the journey, it stops you getting lost.**

## Four steps, once a month

1. **Start with take-home pay**
   Use the figure that lands in your account, not your salary.
2. **List the must-pays**
   Rent, bills, phone, travel, debt repayments, subscriptions.
3. **Pay future you first**
   Set a standing order to savings for payday, before you spend.
4. **Share out the rest**
   Turn what's left into a weekly spending amount and stick to it.

## A simple starting split

| 50% Needs | 30% Wants | 20% Future |
|---|---|---|
| Rent, food, bills, travel | Eating out, hobbies, treats | Savings and paying off debt |

**Adjust it to your life.** In a pricey city needs may be 60%+. Just decide on purpose.

## Where money quietly leaks

- **Forgotten subscriptions**
  Not used it this month? Cancel it.
- **Little and often**
  A £4 coffee five days a week is about £1,000 a year.
- **The 'it's only' trap**
  Delivery fees, in-app buys, small BNPL plans.
- **Lumpy yearly costs**
  Birthdays, Christmas, car MOT. Divide by 12 and save monthly.

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EVERYDAY MONEY

# Bank accounts & paying

Pick the right account and the safest way to pay

### Current account

Your everyday hub: wages in, bills and card spending out. Comes with a debit card.

### Savings account

Somewhere separate that pays interest, so spending money and savings don't mix.

### Basic bank account

No overdraft, no credit check needed. A good start if you've been turned down.

## Ways to pay, and your safety net

| | |
|---|---|
| **Debit card**<br>Spends your own money | Chargeback: your bank may claw back money if goods never arrive. |
| **Credit card**<br>Spends borrowed money | Section 75: card firm shares responsibility for items over £100, up to £30,000. |
| **Direct Debit**<br>A company pulls the amount | Good for bills that vary. Wrong payment? The Direct Debit Guarantee means a refund. |
| **Standing order**<br>You push a fixed amount | Good for rent and moving money to savings on payday. |
| **Bank transfer**<br>Instant, hard to undo | Check the name match warning. Never pay a stranger this way. |

## Your shopping rights

**Faulty?** You can reject it for a full refund within **30 days**. **Bought online?** Most goods can be cancelled within **14 days** of arrival, no reason needed.

## Is my money safe?

If a UK bank or building society fails, the **FSCS** protects up to **£120,000** per person. Brands sharing one banking licence share one limit.

**Current account = kitchen, savings = cupboard.** Keep them apart and you'll snack less on your future.

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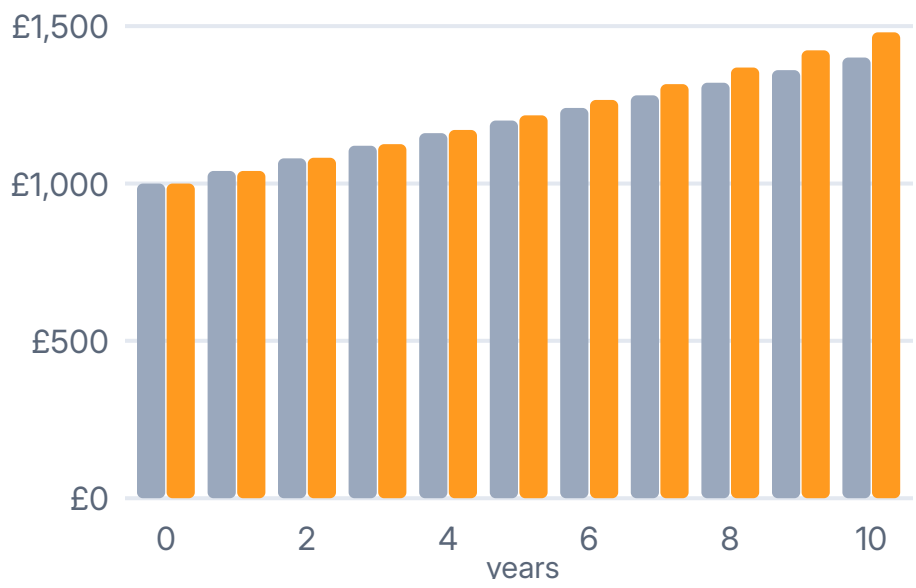
GROWING MONEY

# Saving & interest

Why time beats talent

## £1,000 at 4% a year for 10 years

GREY SIMPLE · ORANGE COMPOUND




**£1,400**

**Simple interest:** £40 a year, every year, on the £1,000 only.

**£1,480**

**Compound interest:** interest is added to the pot, then earns interest too.

**Compound interest is a snowball:** the longer it rolls, the faster it grows. Time does more of the work than the amount you start with.

### AER

**ANNUAL EQUIVALENT RATE**

The yearly return after interest is added. 4% paid monthly works out at 4.07% AER. Compare AER with AER.

### Inflation

**PRICES GOING UP**

The Bank of England aims for 2% a year. If your savings earn less than inflation, they buy less over time.

### Tax

**ON SAVINGS INTEREST**

Many pay none: £1,000 of interest a year is tax-free for basic-rate taxpayers, £500 for higher rate. ISA interest is always tax-free.

## Build a safety net first

Aim for one month of essential costs, then work up to **three to six months**. It turns a broken boiler from a crisis into an annoyance.

## The rule of 72

Divide 72 by the interest rate to guess how long money takes to double. At **4%**, about **18 years**. At 8%, about 9.

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GROWING MONEY

# Where to keep savings

Accounts, ISAs and the 2027 change

## Types of savings account

### Easy access

Take money out any time. The rate can change whenever the bank likes.

### Notice

You give a set number of days' warning before withdrawing.

### Fixed term

Lock it away for, say, a year at a fixed rate. Usually no early access.

### Regular saver

Pay in a set amount monthly. Good rates, but often on small sums.

## ISAs: tax-free wrappers

£20,000 A YEAR

| | |
|---|---|
| **Cash ISA**<br>18+ | Tax-free savings account. Counts towards your £20,000. |
| **Stocks & shares ISA**<br>18+ | Tax-free investing: funds, shares, bonds. Value can fall. |
| **Lifetime ISA**<br>open 18 to 39 | Up to £4,000 a year plus a 25% bonus (max £1,000). For a first home up to £450,000, or from age 60. Other withdrawals lose 25%. |
| **Junior ISA**<br>under 18 | Family can save up to £9,000 a year. The child gets it at 18. |

**An ISA is a gift box:** it keeps tax out; you choose what goes in.

**£12,000**

**Coming in April 2027:** under-65s will only be able to put £12,000 a year into cash ISAs. The overall £20,000 stays; the rest can go into stocks and shares.

**Before you pick:** compare AER, access rules and FSCS protection.

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BORROWING

# Borrowing & credit

Know the true cost before you sign

## % APR: the price tag

The **yearly cost** of borrowing, interest plus compulsory fees. Like price per litre at the pump, it lets you compare fairly. A **representative APR** only has to go to 51% of people accepted, so you may be offered more.

## Your credit score

Lenders read your **credit file** to judge if you'll repay.

- Register to vote at your address
- Pay every bill on time
- Use well under your credit limit
- Check your free report: Experian, Equifax, TransUnion

## The borrowing ladder

| ↑ USUALLY CHEAPER | COSTLY OR DANGEROUS ↓ |
|---|---|
| **Credit union or 0% deal** | Often cheapest if repaid on time |
| **Personal loan** | Fixed payments, fixed end date |
| **Credit card** | Fine if cleared in full; costly if not |
| **Overdraft** | For a few days, not a way of life |
| **Payday loan** | Capped at 0.8% a day, still very costly |
| **Loan shark** | Illegal. Stop Loan Sharks: 0300 555 2222 |

## Overdrafts & BNPL

**Overdrafts** charge one simple interest rate, no daily fees, but it's often high. **Buy now, pay later** is regulated from 15 July 2026: lenders must check you can afford it.

## Struggling with debt?

Get **free** advice from MoneyHelper, StepChange or Citizens Advice. **Breathing Space** can pause most interest and creditor action for up to **60 days**.

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STUDENT FINANCE

# Student loans, simply

England: tuition, living costs and repaying

## Tuition Fee Loan

Up to **£9,790** a year (2026/27), paid straight to your university. You never see it.

## Maintenance Loan

For rent and food. Up to **£9,118** at home, **£10,830** away, **£14,135** in London. Less if household income is higher.

| | Plan 2<br>England, older courses | Plan 5<br>England, newer courses |
|---|---|---|
| WHO | Started 1 Sep 2012 to 31 Jul 2023 | Started from 1 Aug 2023 |
| YOU REPAY | 9% of income over £29,385 | 9% of income over £25,000 |
| INTEREST NOW | 4.1% to 6%, by income | 4.1% (inflation only) |
| WIPED AFTER | 30 years | 40 years |

## What you actually repay

On Plan 5 earning **£30,000**: (£30,000 − £25,000) × 9% = **£450 a year**, about **£37.50 a month**, taken through payroll. Earn under the threshold and you pay nothing.

**It behaves more like a 9% graduate tax than a bank loan.** Your monthly payment depends on your pay, not on how much you owe.

**Think before overpaying.** If you're unlikely to clear the loan before it's wiped, extra payments may not save you anything. Plan 2's threshold is frozen at £29,385 until April 2030.

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FUTURE YOU

# Pensions, simply

Free money most people ignore

## PENSION IN ONE SENTENCE

**A pension is a savings pot for older you, with two bonuses: your employer chips in, and the government adds back tax.**

### State Pension
From the government

- Full new State Pension: **£241.30 a week**
- Need **35 qualifying years** of NI for the full amount, 10 for any
- Starts at State Pension age, rising from **66 to 67** during 2026 to 2028

### Workplace pension
Through your job

- Automatic if you're **22+** and earn **£10,000+** a year
- At least **8%** of pay between £6,240 and £50,270: **3%** employer, 5% you
- Your 5% includes tax relief

### Personal pension
You set it up yourself

- For the self-employed or topping up
- Tax relief: you pay **£80**, your pot gets **£100**
- Usually locked until **55**, rising to **57** from April 2028

**£158** A month into your pension on a **£30,000** salary at the legal minimum. You pay **£79** of it. The other half comes from your employer and tax relief.

### Opting out?

It's like turning down a pay rise. You lose your employer's share, not just your own.

### Check your record

Get a free **State Pension forecast** on gov.uk and find old pots with the **Pension Tracing Service**.

**Pension scam warning:** anyone offering to unlock your pension before 55, or 'free reviews' out of the blue, is a red flag.

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RISK

# Insurance & investing

Protect first, then grow

## Insurance: protect what you can't afford to lose

**Contents**
Your stuff, even if you rent.

**Motor**
Third party is the legal minimum to drive.

**Travel**
Medical bills abroad can be huge.

**Life & income**
When others rely on your pay.

**Premium:** what you pay for cover

**Excess:** the part of a claim you pay yourself

**Claim:** asking the insurer to pay out

**A shared umbrella:** many people chip in a little so the unlucky few don't get soaked. Check what you're already covered for before buying more.

## Investing: owning a slice of things



| Cash | Bonds | Funds | Single shares | Crypto |
|---|---|---|---|---|
| Lowest risk | Lending for interest | Many firms at once | One company | Can lose it all |

LOWER RISK, LOWER GROWTH — HIGHER RISK, BIGGER SWINGS

**Emergency fund first**
Keep 3 to 6 months of costs in cash before investing.

**Think 5+ years**
Only invest money you won't need for at least five years.

**Spread it out**
A fund holding many companies beats betting on one.

**Watch the fees**
A 1% yearly fee quietly eats a big slice over decades.

**Protection has limits.** The FSCS covers up to **£85,000** if an investment *firm* fails, not if your investments fall in value. Crypto usually has no protection at all. Gambling isn't investing: the odds are built for the house.

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STAY SAFE

# Scams & fraud

If it's urgent, secret or too good to be true, stop

## RED FLAGS: ANY ONE MEANS STOP

- ⚠ **It came out of the blue**
- ⚠ **You're rushed or scared**
- ⚠ **They want a code, PIN or password**
- ⚠ **Move money to a 'safe account'**
- ⚠ **Returns that sound too good**
- ⚠ **Pay by transfer, gift card or crypto**

### Fake bank call

Your 'bank' says your account is at risk and you must move money. Banks never ask this.

### Phishing texts and emails

A parcel fee, tax refund or account lock. The link steals your details.

### Purchase scams

Cheap tickets, phones or pets online, paid by transfer. Nothing arrives.

### Investment and crypto

Guaranteed big returns, often pushed by a 'friend' or celebrity ad.

### Money mule offers

'Earn cash for letting money pass through your account.' That's a crime.

### Identity theft

Stolen details used to borrow in your name. Check your credit file.

**STOP**

Hang up. Don't click. Take five minutes.

**CHECK**

Call **159** to reach your bank. Check firms on the FCA Firm Checker.

**REPORT**

Tell your bank fast. Report to **Report Fraud**: 0300 123 2040. Forward scam texts to **7726**.

## Tricked into a bank transfer?

Tell your bank straight away. For UK transfers since October 2024, banks must usually refund scam victims up to **£85,000** if you report within **13 months**.

**Think of scammers as actors:** the script is urgency and fear. Hanging up ends the play.

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JARGON BUSTER

# Money words, decoded

18 terms you'll meet on statements and payslips

**AER**
The true yearly interest on savings, so you can compare accounts.

**APR**
The yearly cost of borrowing, including compulsory fees.

**BNPL**
Buy now, pay later: split a purchase into instalments.

**Compound interest**
Interest that earns interest. Works for savers, against borrowers.

**Credit file**
Your borrowing history, kept by credit reference agencies.

**Default**
When you miss payments badly enough that the lender gives up on the deal.

**Direct Debit**
Permission for a company to take varying payments from your account.

**Dividend**
A share of a company's profit paid to its shareholders.

**Excess**
The part of an insurance claim you pay yourself.

**FSCS**
Protects up to £120,000 per person if your bank goes bust.

**Gross / net**
Pay before deductions / pay after them.

**Inflation**
Prices rising, so each pound buys a little less.

**ISA**
A tax-free wrapper for savings or investments.

**National Insurance**
A tax on earnings that also builds your State Pension.

**P45 / P60**
P45: what you get when you leave a job. P60: your yearly pay and tax summary.

**Personal Allowance**
Income you can earn each year before Income Tax: £12,570.

**Premium**
What you pay for insurance, monthly or yearly.

**Tax code**
Tells your employer how much tax-free pay you get. Usually 1257L.

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LEARN FROM OTHERS

# Mistakes everyone makes

And the simple fix for each one

### Budgeting with your salary

**Instead:** Plan with net pay. £30,000 a year is about £2,010 a month after deductions.

### Opting out of the workplace pension

**Instead:** Stay in. You'd be turning down your employer's money and the tax relief.

### Paying only the credit card minimum

**Instead:** Pay in full by Direct Debit, or as much as you can. The minimum mostly feeds interest.

### Never checking your tax code

**Instead:** Check it in the HMRC app each April and after a job change. Wrong codes cost money.

### Savings sitting in a 0% account

**Instead:** Move them somewhere that pays a decent AER, ideally in an ISA.

### BNPL for everyday spending

**Instead:** Treat it as a loan. If you can't pay today, ask if you'll really pay next month.

### Moving money because a caller said so

**Instead:** Hang up and call 159. A real bank will never rush you.

### Ignoring debt letters

**Instead:** Open them. Free advice from MoneyHelper, StepChange or Citizens Advice can pause the pressure.

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# Keep these numbers handy

**£12,570**
Personal Allowance: earn this tax-free

**20% / 40%**
Income Tax rates, higher rate from £50,271

**8% / 2%**
Employee NI, 2% above £50,270

**£12.71**
National Living Wage per hour, age 21+

**£20,000**
Yearly ISA allowance (cash: £12,000 from Apr 2027, under-65s)

**£120,000**
FSCS savings protection per person, per banking licence

**£241.30**
Full new State Pension a week

**8%**
Minimum workplace pension, 3% from employer

**£29,385**
Plan 2 student loan repayment threshold

**£25,000**
Plan 5 student loan repayment threshold

**Save it**
For your next payslip or tax code letter.

**Share it**
With someone starting their first job.

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